

suspect this company has been more successful than some of its competitors in meeting Japanese competition in the electronic components phases of its business, this threat may be a reason for the relatively poor market action. Another reason may be lack of interest by much of the financial community in a business that is not easily classified in one industry or another, but cuts across several. This may change in time, particularly as awareness grows that its miniature battery lines are not so far removed from some glamorous growth fields, for they should grow with the steady trend toward miniaturization in electronics. At any rate, this stock which was at 35 when the first edition was written, after allowing for two 2 per cent stock dividends since, is now selling at 37¼.

Now let us see what I said about the other *B* group example I discussed in the original edition:

“The Beryllium Corporation is another good example of a group *B* investment. The corporate title of this company has a young-company implication that causes uninformed people to assume that the stock carries with it a greater degree of risk than may actually exist. A low-cost producer, it is the only integrated company making master alloys of beryllium copper and beryllium aluminum and also operating a fabricating plant in which the master alloy is turned into rod, bar, strip, extrusions, etc., and, in the case of tools, into finished products. Sales have increased about six times during the ten-year period ending in 1957 to a total of approximately \$16,000,000. A growing percentage of these sales is to electronic, computing machine, and other industries promising rapid growth in the years ahead. With important new uses such as beryllium copper dies just beginning to be of sales importance, it would seem that the good growth rate of the past ten years may be just an indication of what is to come. This would tend to justify the price-earnings ratio of around 20 at which this stock has frequently sold in the past five years.

“Indicating that this growth may continue for many years to come, the Rand Corporation, brilliant research arm of the Air Force owned by the government, has been quoted in the press as predicting an important future in the 1960's for the as yet almost non-existent field of beryllium metal as a